Finance Paper Digest Generated: 2026-10-23 11:39 Date: 2026-09

Total: 35 papers (35 with abstract, 35 with PDF)

Contents

1 The Review of Financial Studies **2**
- 1.1 1. Flow . . . 2
- 1.2 2. Stablecoin Runs and the Centralization of Arbitrage . . . 2
- 1.3 3. Corporate Financial Constraints, Minimum Wage Policies, and Employment . . . 2
- 1.4 4. The Coherence Side of Rationality: Theory and Evidence from Firm Plans . . . 3
- 1.5 5. Optimal Time-Consistent Debt Policies . . . 3
- 1.6 6. Corporate Bond Multipliers: Substitutes Matter . . . 3
- 1.7 7. Adverse Selection and the Government Intervention Trap . . . 4
- 1.8 8. Affordable Housing, Unaffordable Credit? Concentration and High-Cost Lending for Manufactured Homes . . . 4
- 1.9 9. Original Sin Redux: Role of Duration Risk . . . 5
- 1.10 10. Universal Portfolio Shrinkage . . . 5

2 The Journal of Finance **5**
- 2.1 1. Discretionary Announcement Timing and Stock Returns . . . 5
- 2.2 2. Justice Good as Random? . . . 6
- 2.3 3. An IV Hazard Model of Loan Default with an Application to Subprime Mortgage Cohorts . . . 6
- 2.4 4. Money to Burn: Crowdfunding Wildfire Recovery . . . 6
- 2.5 5. Mind the App: Mobile Access to Financial Information and Consumer Behavior . . . 7
- 2.6 6. Supranational Banking Supervision, Credit Supply, and Risk-Taking: European Evidence from Multi-Country Credit Registers . . . 7
- 2.7 7. The Real Channel for Nominal Bond-Stock Puzzles . . . 8
- 2.8 8. The Politicization of Social Responsibility . . . 8

3 Review of Finance **8**
- 3.1 1. Spend or invest? Analyzing MPC heterogeneity across three stimulus waves . . . 8
- 3.2 2. The cost of better information: risk-based pricing and aggregate default . . . 9
- 3.3 3. Financing J-curves in venture capital . . . 9
- 3.4 4. Mixing quantitative easing and interest rate policies at the effective lower bound: micro evidence from the euro area . . . 10
- 3.5 5. Making stablecoins stable(r): can regulation help? . . . 10
- 3.6 6. Who Pays the Most to Trade? Cross-client Dispersion in OTC Liquidity Prices . . . 10
- 3.7 7. Passive debt ownership and corporate financial policy . . . 11
- 3.8 8. Forbearance and the cost of credit . . . 11
- 3.9 9. Noisy factors? The retroactive impact of methodological changes on the Fama–French factors . . . 12
- 3.10 10. All you need is cash: corporate cash holdings and investment after the global financial crisis . . . 12
- 3.11 11. Subjective beliefs estimators and their properties . . . 12
- 3.12 12. Identifying a stock price bubble and its macroeconomic implications . . . 13

4 Journal of Financial and Quantitative Analysis **13**
- 4.1 1. Private Equity and Gas Emissions: Evidence from Electric Power Plants . . . 13
- 4.2 2. Connected Social Media . . . 14
- 4.3 3. Political Connections, Financial Constraints, and Corporate Taxation . . . 14
- 4.4 4. Flow Diversification . . . 14

4.5 5. How Does Domestic Competition Affect Firms' Foreign Market Expansion? 15

The Review of Financial Studies

1. Flow

Authors: Caitlin Dannhauser, Jeffrey Pontiff
DOI: 10.1093/rfs/hhag080

Fields & Theories:

- **Fields:** Asset Management, Financial Intermediation, Behavioral Finance, Institutional Investors
- **Theories:** Performance Chasing, Momentum Strategy, Institutional Herding, Flow-Performance Sensitivity

Abstract:

Performance chasing is pervasive in active mutual funds, index mutual funds, and ETFs, with positive flow-performance sensitivity evident in both broad-based and niche funds and for the skill and nonskill components of returns. The sensitivity of ETFs is greatest, with insignificant differences between active and index mutual funds. The heightened sensitivity of ETFs is not explained by benchmark design or exchange trading, and is amplified by institutional ownership. Institutional trading of ETFs follows a momentum strategy, rather than flow management or benchmarking. Institutional herding and the outsourcing of investment management to model portfolios heightens the performance sensitivity of ETF flows.

`Dannhauser - Flow.pdf`

2. Stablecoin Runs and the Centralization of Arbitrage

Authors: Yiming Ma, Yao Zeng, Anthony Lee Zhang
DOI: 10.1093/rfs/hhag072

Fields & Theories:

- **Fields:** Financial Intermediation, Fintech, Financial Stability, Asset Pricing
- **Theories:** Arbitrage, Bank Runs, Liquidity Risk, Market Microstructure

Abstract:

Stablecoins are cryptoassets designed to be pegged to the dollar, but they are backed by imperfectly liquid USD assets. We show that stablecoins feature concentrated arbitrage: the largest issuer, Tether, allows only six agents in an average month to redeem stablecoins for cash. We argue that the issuers' choice of arbitrage concentration reflects a trade-off: efficient arbitrage improves stablecoin price stability in secondary markets but amplifies run risks by reducing investors' price impact from selling stablecoins. Our findings imply that policies designed to improve stablecoin price stability may have the unintended consequence of increasing stablecoin run risks.

`Ma - Stablecoin Runs and the Centralization of Arbitrage.pdf`

3. Corporate Financial Constraints, Minimum Wage Policies, and Employment

Authors: Alona Bilokha, Iftekhar Hasan, Stefano Manfredonia, Ronald W Masulis
DOI: 10.1093/rfs/hhag075

Fields & Theories:

- **Fields:** Corporate Finance, Labor Finance, Public Finance
- **Theories:** Financial Constraints, Difference-in-Differences, Debt Maturity Structure

Abstract:

We examine how corporate financial constraints shape firms' employment responses to minimum wage policies. Exploiting the federal minimum wage increase during the financial crisis and variation in firms' debt maturity structures at the crisis onset, we find that financially constrained firms significantly reduce

employment. To assess external validity, we analyze staggered state-level minimum wage increases over time. Consistent with the crisis evidence, employment declines in establishments of constrained firms, whereas unconstrained firms expand in areas with a larger supply of minimum-wage workers and higher turnover. Our results highlight the central role of financial constraints in mediating labor policy effects.

`Bilokha - Corporate Financial Constraints, Minimum Wage Policies, and Employment.pdf`

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4. The Coherence Side of Rationality: Theory and Evidence from Firm Plans

Authors: Pamela Giustinelli, Stefano Rossi
DOI: 10.1093/rfs/hhag086

Fields & Theories:

- **Fields:** Corporate Finance, Behavioral Finance, Managerial Finance
- **Theories:** Bounded Rationality, Heuristics, Forecast Coherence

Abstract:

Using the Duke Survey data on firms' internal plans, we show that over 80% of Chief Financial Officer (CFO) forecasts align closely with simple heuristics taught in MBA textbooks. We introduce forecast coherence—internal consistency across forecasts of jointly determined variables—as a benchmark for evaluating these heuristics. Nearly half of CFOs issue forecasts closely aligned with incoherent heuristics. Such forecasts are associated with predictable reversals in forecast errors, lower firm performance, and underinvestment. We develop a parsimonious model illustrating how reliance on restricted forecasting heuristics can generate incoherence and resource misallocation within firms, consistent with our evidence

`Giustinelli - The Coherence Side of Rationality Theory and Evidence from Firm Plans.pdf`

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5. Optimal Time-Consistent Debt Policies

Authors: Andrey Malenko, Anton Tsoy
DOI: 10.1093/rfs/hhag083

Fields & Theories:

- **Fields:** Corporate Finance, Capital Structure
- **Theories:** Dynamic Trade-off Theory, Time Consistency, Leverage Ratchet Effect

Abstract:

We study a dynamic trade-off model where shareholders can freely adjust debt but lack commitment to future debt policies. A debt policy is time-consistent if shareholders prefer it to deviating and losing credibility ex post. We characterize the optimal time-consistent policy in a class. It includes a stable regime, where shareholders actively manage liabilities to maintain the target interest coverage ratio, and a distress regime triggered by large negative shocks, where shareholders temporarily abandon the target. This policy has realistic properties and bridges the gap between the static trade-off theory of debt and theory based on the leverage ratchet effect.

`Malenko - Optimal Time-Consistent Debt Policies.pdf`

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6. Corporate Bond Multipliers: Substitutes Matter

Authors: Manav Chaudhary, Julie Zhiyu Fu, Jian Li
DOI: 10.1093/rfs/hhag082

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure, Fixed Income

- **Theories:** Demand Elasticity, Arbitrage Risk, Substitutability

Abstract:

Many economic questions require estimating the price effect of demand shifts (multipliers) in the bond market. Corporate bonds have salient characteristics that distinguish between close and distant substitutes. We show that accounting for heterogeneous substitutability between bonds is critical for correctly estimating multipliers. We find that security-level multipliers are very small. In fact, an order of magnitude smaller than the estimate ignoring heterogeneous substitutability. Nonetheless, portfolio multipliers are substantially larger and monotonically increase with the aggregation level. Furthermore, we find that the multiplier is larger for high-yield bonds, longer-maturity bonds, and bonds with greater arbitrage risks.

`Chaudhary - Corporate Bond Multipliers Substitutes Matter.pdf`

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7. Adverse Selection and the Government Intervention Trap

Authors: Fenghua Song, Anjan Thakor
DOI: 10.1093/rfs/hhag081

Fields & Theories:

- **Fields:** Financial Intermediation, Corporate Finance, Information Asymmetry
- **Theories:** Adverse Selection, Search Theory, Rational Expectations, General Equilibrium

Abstract:

In a dynamic setting, high-quality firms may tolerate current adverse selection when raising financing because they expect future opportunities to profitably acquire assets from failed lower-quality firms. But search frictions in asset trading impede efficiency, inviting government intervention. Anticipation of such intervention affects ex ante adverse selection and project investment because it reduces buyers' ex post trading profits. Depending on parameter values, this anticipation can have either pernicious or salutary effects. The pernicious effect reduces participation by high-quality firms, worsens adverse selection, and depresses project investment, potentially triggering investment-enhancing government assistance (an "intervention trap"). The salutary effect mitigates adverse selection and increases project investment.

`Song - Adverse Selection and the Government Intervention Trap.pdf`

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8. Affordable Housing, Unaffordable Credit? Concentration and High-Cost Lending for Manufactured Homes

Authors: Sebastian Doerr, Andreas Fuster
DOI: 10.1093/rfs/hhag087

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Financial Intermediation
- **Theories:** Market Power, Difference-in-Differences, Instrumental Variables

Abstract:

This paper shows that high market concentration in the U.S. manufactured home loan market allows lenders to charge markedly higher interest rates than in the mortgage market for site-built homes. Borrowers in counties with higher lender concentration face significantly higher rates, and evidence from bunching at a regulatory rate threshold, an instrumental variable analysis, and a difference-in-differences analysis suggests a causal link. Integrated lenders, which play an outsized role in this market, charge particularly high rates, and we provide evidence suggesting that these lenders exploit their market power over borrowers. We discuss factors that may explain limited lender entry.

`Doerr - Affordable Housing, Unaffordable Credit Concentration and High-Cost Lending for.pdf`

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9. Original Sin Redux: Role of Duration Risk

Authors: Carol Bertaut, Valentina Bruno, Hyun Song Shin
DOI: 10.1093/rfs/hhag088

Fields & Theories:

- **Fields:** International Finance, Asset Pricing, Emerging Markets, Financial Intermediation
- **Theories:** Duration Risk, Exchange Rate Risk, Strategic Complementarities, Portfolio Balance Theory

Abstract:

We highlight the role of duration and exchange rate risks on portfolio flows by using a unique and comprehensive database of U.S. investor flows into emerging market government bonds denominated in local currency. Borrowing long-term mitigates rollover risk but amplifies valuation changes that further interact with currency movements. Our analysis highlights the double-edged nature of long-term borrowing and draws attention to market stress dynamics due to strategic complementarities among mutual fund investors.

`Bertaut - Original Sin Redux Role of Duration Risk.pdf`

10. Universal Portfolio Shrinkage

Authors: Bryan Kelly, Semyon Malamud, Mo Pourmohammadi, Fabio Trojani
DOI: 10.1093/rfs/hhag084

Fields & Theories:

- **Fields:** Asset Pricing, Portfolio Management, Quantitative Finance, Econometrics
- **Theories:** Covariance Shrinkage, Portfolio Optimization, Factor Models, Nonlinear Shrinkage

Abstract:

We introduce a nonlinear covariance shrinkage method for building optimal portfolios. Our universal portfolio shrinkage approximator (UPSA) is built from closed-form basis portfolios, is cheap to implement, and improves on existing shrinkage methods. Rather than uniformly penalizing all principal components of returns or discarding low-variance ones, UPSA instead reweights components to explicitly optimize expected out-of-sample portfolio performance. In empirical applications using a large cross-section of anomaly factors, it delivers robust improvements over alternative shrinkage methods in the literature.

`Kelly - Universal Portfolio Shrinkage.pdf`

The Journal of Finance

1. Discretionary Announcement Timing and Stock Returns

Authors: KERRY BACK, BRUCE I. CARLIN, SEYED M. KAZEMPOUR, CHLOE L. XIE
DOI: 10.1111/jofi.70073

Fields & Theories:

- **Fields:** Asset Pricing, Corporate Finance, Information Economics
- **Theories:** CAPM, Discretionary Disclosure, Risk Premia, Information Asymmetry

Abstract:

Discretionary announcement timing generates high conditional risk premia of stock returns and a pattern of negative drifts followed by positive jumps. Average announcement returns are much larger than unconditional risk premia. Capital Asset Pricing Model alphas turn negative when conditioning on nondisclosure because betas rise faster than risk premia prior to disclosures, but average announcement returns may appear to be too large relative to market risk when betas are estimated from past returns. The effects are amplified when multiple firms exercise discretion over the timing of correlated announcements. We present evidence that firms time earnings announcements in a manner consistent with our model.

BACK - Discretionary Announcement Timing and Stock Returns.pdf

2. Justice Good as Random?

Authors: NIKLAS HÜTHER, KRISTOPH KLEINER
DOI: 10.1111/jofi.70081

Fields & Theories:

- **Fields:** Corporate Finance, Law and Finance, Financial Intermediation
- **Theories:** Instrumental Variables, Selection Bias, Strategic Behavior, Agency Theory

Abstract:

The random assignment of judges promotes fairness and underpins causal identification across the social sciences. Analyzing Chapter 11 bankruptcies, we find sophisticated parties "judge-shop": relative to secured hedge fund creditors, cases involving unsecured hedge fund creditors and equity holders are assigned judges with lower past conversion rates and higher unsecured recovery rates. Experienced legal counsel similarly influences assignment. Because judges are not assigned consecutive large cases, knowledgeable parties can judge-shop by timing the filing date. We develop a method to measure the resulting bias and demonstrate the need for controls and bounded instrumental variable specifications in judge/examiner designs.

HÜTHER - Justice Good as Random.pdf

3. An IV Hazard Model of Loan Default with an Application to Subprime Mortgage Cohorts

Authors: CHRISTOPHER J. PALMER
DOI: 10.1111/jofi.70088

Fields & Theories:

- **Fields:** Real Estate Finance, Financial Intermediation, Econometrics, Household Finance
- **Theories:** Hazard Models, Instrumental Variables, Control Function, Credit Risk

Abstract:

I develop a control function methodology robust to endogenous or mismeasured regressors in hazard models. Applying the estimator to the subprime mortgage crisis, I quantify what caused the foreclosure rate to triple across the 2003 to 2007 subprime cohorts. To identify the elasticity of default to housing prices, I use various home price instruments including historical variation in home price cyclicality. Loose credit played a significant role in the crisis, but much of the increase in defaults across cohorts was caused by price declines unrelated to lending standards, with a 10% price decline increasing subprime mortgage default rates by 50%.

PALMER - An IV Hazard Model of Loan Default with an Application to Subprime Mortgage Coho.pdf

4. Money to Burn: Crowdfunding Wildfire Recovery

Authors: J. ANTHONY COOKSON, EMILY A. GALLAGHER, PHILIP MULDER
DOI: 10.1111/jofi.70094

Fields & Theories:

- **Fields:** Household Finance, Fintech, Public Finance, Social Finance
- **Theories:** Social Capital, Social Pressure, Inequality, Disaster Relief

Abstract:

Person-to-person crowdfunding is an increasingly important form of disaster relief, yet its distribution is poorly understood. Linking GoFundMe campaigns from a major wildfire to property and household credit records, we find that higher-income households are 12 pp more likely to have campaigns and raise over 25%

more, holding property losses constant. These disparities reflect unequal access to social capital: broader donor bases, more nonlocal ties, greater advocacy by friends, and more generous donors. Donors appear influenced by social pressure in online crowdfunding. These mechanisms mirror national patterns and underscore crowdfunding's limitations as a tool for equitable disaster relief.

`COOKSON - Money to Burn Crowdfunding Wildfire Recovery.pdf`

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5. Mind the App: Mobile Access to Financial Information and Consumer Behavior

Authors: YARON LEVI, SHLOMO BENARTZI
DOI: 10.1111/jofi.70087

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Fintech
- **Theories:** Self-Control, Monitoring Channel, Difference-in-Differences, Rational Expectations

Abstract:

We study whether easier monitoring of personal finances affects consumer spending. We use transaction data from an account aggregation company to study consumers who installed the mobile app after using the same service on a personal computer for several months. We utilize the staggered release of the apps on different devices (iPhone, iPad, and Android) to identify a causal effect conditional on adoption of the mobile app. Consumers decrease their discretionary spending following the installation of the mobile app. The decrease is larger during evening hours and among individuals with lower proxies of self-control, patterns consistent with a monitoring/self-regulation channel and with benchmark models of costly self-control.

`LEVI - Mind the App Mobile Access to Financial Information and Consumer Behavior.pdf`

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6. Supranational Banking Supervision, Credit Supply, and Risk-Taking: European Evidence from Multi-Country Credit Registers

Authors: CARLO ALTAVILLA, MIGUEL BOUCINHA, MARTINA JASOVA, JOSÉ-LUIS PEYDRÓ, FRANK SMETS
DOI: 10.1111/jofi.70091

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Regulation, International Finance
- **Theories:** Regulatory Arbitrage, Agency Theory, Credit Supply Dynamics, Moral Hazard

Abstract:

Using a novel data set of multi-country credit registers and an institutional change from national to supranational supervision, we show that supranational banking supervision can increase credit supply while mitigating excessive risk-taking. Supranational supervision increases credit supply only in financially stressed countries while reducing the credit supply to the riskiest (zombie) firms. These improved lending effects stem from weaker national institutions, differential national supervisory incentives, lower national supervisory abilities, and weaker national insolvency laws. Moreover, improved access to external finance from wholesale and bond markets as well as lower risk-weighted assets allow supranationally supervised banks to expand the supply of credit. Overall, despite some supranational supervisory arbitrage, supranational supervision decreases firm-level credit to the riskiest firms while increasing firm-level credit availability in stressed countries without reducing it in nonstressed countries.

`ALTAVILLA - Supranational Banking Supervision, Credit Supply, and Risk-Taking European Evide.pdf`

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7. The Real Channel for Nominal Bond-Stock Puzzles

Authors: MIKHAIL CHERNOV, LARS A. LOCHSTOER, DONGHO SONG
DOI: 10.1111/jofi.70092

Fields & Theories:

- **Fields:** Asset Pricing, Macro-Finance
- **Theories:** Consumption-Based Asset Pricing, Rational Expectations, Regime Switching, Learning Framework

Abstract:

We document that the nature of aggregate consumption dynamics changes when the bond-stock correlation switches sign. We identify three regimes in a real-time, sequential learning framework: two highly persistent regimes where permanent or transitory consumption shocks are more dominant, and a largely transitory disaster regime. We study the implications for asset prices. The transition from the second to the first regime in the late 1990s makes the correlation between equities and real bonds switch from positive to negative as in the data, providing an explanation from the perspective of real consumption dynamics. The findings extend to the international setting.

`CHERNOV - The Real Channel for Nominal Bond-Stock Puzzles.pdf`

8. The Politicization of Social Responsibility

Authors: TODD A. GORMLEY, MANISH JHA, MENG WANG
DOI: 10.1111/jofi.70093

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Corporate Governance, Political Economy
- **Theories:** Shareholder Value Maximization, Political Influence, Institutional Investor Voting, Agency Theory

Abstract:

Institutional investors are less likely to support shareholder proposals on environmental and social issues for firms headquartered in Republican-led states. The decline in support has become more pronounced in recent years, aligning with politicians emphasizing companies' social responsibility efforts, and among firms receiving state-level subsidies and tax breaks. Investor support also varies with shifts in state leadership, dropping by 12 percentage points in the same state when Republicans are in control instead of Democrats. The findings indicate that institutional investors prioritize maximizing shareholder value and that politicians can influence investor votes by altering the value implications of shareholder proposals.

`GORMLEY - The Politicization of Social Responsibility.pdf`

Review of Finance

1. Spend or invest? Analyzing MPC heterogeneity across three stimulus waves

Authors: Jan Toczynski
DOI: 10.1093/rof/rfag034

Fields & Theories:

- **Fields:** Household Finance, Public Finance, Macroeconomics
- **Theories:** Marginal Propensity to Consume, Liquidity Constraints, Debt Overhang, Machine Learning Imputation

Abstract:

Using transaction data from a US account aggregator, I study how household balance-sheet conditions drive within-person variation in marginal propensities to consume, repay debt, and invest across three rounds of

pandemic stimulus. Using a machine learning imputation estimator, I measure the sensitivity of responses to time-varying financial circumstances. Spending responses fall as liquid assets increase, while debt repayments crowd out consumption only for those with binding borrowing limits. Transfers also encourage retail investment in stocks and cryptocurrencies at both intensive and extensive margins. The findings show how liquidity constraints and debt overhang influence the allocation of transfers across spending, deleveraging, and financial assets.

`Toczynski - Spend or invest Analyzing MPC heterogeneity across three stimulus waves.pdf`

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2. The cost of better information: risk-based pricing and aggregate default

Authors: David C. Webb
DOI: 10.1093/rof/rfag035

Fields & Theories:

- **Fields:** Financial Intermediation, Credit Risk, Information Economics
- **Theories:** Moral Hazard, Risk-Based Pricing, Pooling vs. Separating Equilibrium, Welfare Economics

Abstract:

In credit markets where borrower types are observable, is it welfare-maximizing for a rate-setting institution to offer different rates to different borrower types, or to pool them at a common rate? Moral hazard favors separation; deadweight default costs favor pooling, since compressing rates reduces aggregate defaults through hazard rate heterogeneity. We derive the condition determining which force dominates: the ratio of default cost intensity to moral hazard intensity. We show that there is a single threshold value of this ratio such that separation strictly dominates below it, complete pooling strictly dominates above it, and the two are welfare-equivalent exactly at it, for every possible value of the ratio. The result does not depend on information being scarce: even though borrower types are observable throughout, pooling can still dominate separation when default costs are sufficiently large, provided the maintained compression and effort conditions we state precisely continue to hold; we conjecture, but do not formally establish, that the same logic extends to imperfect information if the threshold, recomputed for that weaker information structure, continues to be exceeded. The welfare criterion is utilitarian surplus; the efficiency claim is surplus maximization, not Pareto improvement.

`Webb - The cost of better information risk-based pricing and aggregate default.pdf`

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3. Financing J-curves in venture capital

Authors: Thomas Hellmann, Alexander Montag, Joacim Tåg
DOI: 10.1093/rof/rfag037

Fields & Theories:

- **Fields:** Venture Capital, Corporate Finance, Entrepreneurial Finance
- **Theories:** Financing Capacity, J-curve, Information Asymmetry

Abstract:

Startups face a trade-off between short-term profitability and long-term growth. Their cash flows are said to follow a so-called J-curve. The shape of the curve depends on investors' financing capacity: their ability to sustain prolonged periods of negative cash flow. US venture capitalists are often believed to have greater financing capacity. We examine a large Swedish dataset with detailed cash flow information. Swedish startups backed by US venture capitalists experience deeper J-curves, with larger short-term losses and higher long-term sales, relative to those backed by non-US venture capitalists. These results are consistent with US venture capitalists having greater financing capacity: they can provide more funding directly and have better access to later-stage investors.

`Hellmann - Financing J-curves in venture capital.pdf`

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4. Mixing quantitative easing and interest rate policies at the effective lower bound: micro evidence from the euro area

Authors: Christian Bittner, Alexander Rodnyansky, Farzad Saidi, Yannick Timmer
DOI: 10.1093/rof/rfag038

Fields & Theories:

- **Fields:** Monetary Policy, Banking, Financial Intermediation
- **Theories:** Effective Lower Bound, Bank Lending Channel, Quantitative Easing

Abstract:

We study the interaction of expansionary rate-based monetary policy and quantitative easing, despite their concurrent implementation, by exploiting heterogeneous banks and the introduction of negative monetary-policy rates in a fragmented euro area. Quantitative easing increases credit supply less when banks' funding costs do not decrease simultaneously. Using administrative data from Germany, we uncover that among banks selling their securities, central-bank reserves remain disproportionately with high-deposit banks that are constrained due to sticky customer deposits at the zero lower bound. Affected German banks lend relatively less to firms while increasing their interbank exposure in the euro area.

`Bittner - Mixing quantitative easing and interest rate policies at the effective lower bou.pdf`

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5. Making stablecoins stable(r): can regulation help?

Authors: Tirupam Goel, Ulf Lewrick, Isha Agarwal
DOI: 10.1093/rof/rfag040

Fields & Theories:

- **Fields:** Financial Regulation, FinTech, Financial Intermediation
- **Theories:** Capital and Liquidity Thresholds, Fire Sales, Spillover Effects

Abstract:

Rapid growth of stablecoins has raised concerns about issuer default and spillover risks. To assess these risks, we model a stablecoin issuer facing persistent demand shocks. Absent regulation, the issuer holds little capital and favors interest-bearing but illiquid bonds over cash. This exposes coin-holders to default risk and poses spillovers via bond fire sales. How can regulation mitigate these risks? Capital and liquidity thresholds can help, especially when introduced as usable buffers. The thresholds can be breached, providing flexibility. However, breaches trigger additional redemptions that discipline the issuer. The thresholds operate through asymmetric channels: the liquidity threshold raises only cash, whereas the capital threshold increases both capital and cash. Both thresholds mitigate default and spillover risks, making them substitutes when either risk is targeted separately but complements when both risks are targeted jointly. We provide a two-way mapping that helps derive capital–liquidity threshold combinations implied by chosen risk targets (and vice-versa).

`Goel - Making stablecoins stable(r) can regulation help.pdf`

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6. Who Pays the Most to Trade? Cross-client Dispersion in OTC Liquidity Prices

Authors: Geir Høidal Bjønnes, Neophytos Kathitziotis, Carol Osler
DOI: 10.1093/rof/rfag042

Fields & Theories:

- **Fields:** Market Microstructure, Financial Intermediation, OTC Markets
- **Theories:** Rational Inattention, Execution Efficiency, Information Asymmetry

Abstract:

This study analyzes the wide dispersion in bid-ask spreads across clients in over-the-counter (OTC) markets. Our data detailed data comprise a dealing bank's complete trading record in a major OTC contract and include client IDs, seven client types, and precise markups. Average spreads are lowest for hedge funds (<1 basis point, bp) and highest for individuals and for small and medium enterprises (>50 bps). Regression results suggest that the primary source of variation is clients' execution efficiency, meaning their ability to minimize execution costs. Efficient trading, which can require investments in knowledge and technology, has three dimensions: reliance on low-cost platforms; familiarity with market technologies, conventions, and negotiating strategies; and breadth of dealing relationships. Relations between proxies for client execution efficiency and client incentives to invest, such as trade frequency, are consistent with rational inattention.

`Bjønnes - Who Pays the Most to Trade Cross-client Dispersion in OTC Liquidity Prices.pdf`

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7. Passive debt ownership and corporate financial policy

Authors: Brian Gibbons, Golnaz Bahrami
DOI: 10.1093/rof/rfag043

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Asset Management, Debt Markets
- **Theories:** Agency Theory, Monitoring, Capital Structure, Demand Inelasticity

Abstract:

The rise in passively managed corporate debt funds has resulted in an increasingly inelastic demand for corporate debt. In this study, we quantify how passive debt ownership affects firms' financial policy. Using fund-specific flows to capture firm-level changes in passive debt ownership that are exogenous to firm fundamentals, we find that firms respond to higher levels of passive debt ownership by increasing leverage. The borrower-friendly terms provided by passive debtholders could also theoretically lead to several potential changes in investment or payout policy. We show that passive debt holding does not affect investment policy. Instead, higher passive ownership predicts increased dividend payouts—even for firms far from index thresholds—exacerbating shareholder–debtholder conflicts. Passive debtholders enable these effects by reducing aggregate ex ante and ex post monitoring. The presence of a bank monitor moderates the relationship between passive debt ownership and increased payout, reinforcing the importance of this monitoring channel.

`Gibbons - Passive debt ownership and corporate financial policy.pdf`

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8. Forbearance and the cost of credit

Authors: Pedro Gete, Andrey Pavlov, Athena Tsouderou, Susan Wachter
DOI: 10.1093/rof/rfag044

Fields & Theories:

- **Fields:** Financial Intermediation, Real Estate Finance, Public Finance, Credit Risk
- **Theories:** Natural Experiment, Difference-in-Differences, Credit Risk Pricing, Information Asymmetry

Abstract:

Using novel data from the GSE Credit Risk Transfer (CRT) market and the enactment of the 2020 CARES Act as a natural experiment, we study the ex ante pricing of mortgage forbearance. We show that private investors demanded higher compensation for bearing mortgage credit risk following the introduction of federal mortgage forbearance. The increase in CRT spreads was larger for securities with greater exposure to judicial foreclosure regimes, lower expected house price growth, higher house price volatility, and riskier borrowers. These patterns suggest that investors priced heightened uncertainty regarding future collateral values and recovery outcomes. We find little evidence that the response was driven by broader financial market conditions, prepayment risk, servicer liquidity concerns, or strategic forbearance take-up. Our findings show how borrower-protection policies are transmitted to mortgage markets through the pricing of

mortgage credit risk.

`Gete - Forbearance and the cost of credit.pdf`

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9. Noisy factors? The retroactive impact of methodological changes on the Fama–French factors

Authors: Pat Akey, Adriana Z Robertson, Mikhail Simutin
DOI: 10.1093/rof/rfag002

Fields & Theories:

- **Fields:** Asset Pricing, Empirical Finance
- **Theories:** Fama-French Factor Models, Model Evaluation, Data Robustness, Cross-Sectional Equity Pricing

Abstract:

The Fama–French factors are ubiquitous in empirical finance. We find that factor returns differ substantially depending on when the data were downloaded. A large portion of these retroactive changes appears to be driven by modifications to the factor construction methodology rather than by revisions to the underlying data. Changes to the factors have large effects in two widely studied contexts: mutual fund performance and cross-sectional equity pricing. Model evaluation tests suggest that more recent vintages do not perform better.

`Akey - Noisy factors The retroactive impact of methodological changes on the Fama–Frenc.pdf`

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10. All you need is cash: corporate cash holdings and investment after the global financial crisis

Authors: Andreas Joseph, Christiane Kneer, Neeltje Van Horen
DOI: 10.1093/rof/rfag005

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, SME Finance
- **Theories:** Financial Constraints, Liquidity Management, Precautionary Savings, Natural Experiment

Abstract:

This article studies how cash holdings at the onset of the global financial crisis affected the investment behavior of small and medium-sized enterprises (SMEs) after the shock. Using balance sheet data for UK SMEs, we find that cash-rich SMEs maintained their capital stock during the global financial crisis, while cash-poor rivals reduced theirs. This gave cash-rich SMEs an advantage when the economy rebounded, resulting in a persistent investment gap that grew over the recovery period. Competition dynamics, borrowing constraints, and adjustments in cash balances contributed to this amplification effect. The amplification effect was more pronounced for younger and smaller firms and in industries for which credit conditions tightened more. We do not observe a persistent effect of cash in non-crisis periods or for publicly listed firms. Our findings show that when financial constraints tighten after crises, cash holdings are a key determinant of investment by SMEs in the long term.

`Joseph - All you need is cash corporate cash holdings and investment after the global fin.pdf`

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11. Subjective beliefs estimators and their properties

Authors: Anisha Ghosh, Taisuke Otsu
DOI: 10.1093/rof/rfag010

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Financial Econometrics

- **Theories:** Information Theory, Subjective Beliefs, Euler Equations, Rational Expectations

Abstract:

Information-theoretic methods recover investors' subjective beliefs by minimizing the statistical discrepancy between beliefs and the data-generating process, subject to assets' Euler constraints. We show that the estimated beliefs converge in probability to their pseudo-true value. Comparing estimators in the Cressie–Read family, we show that the exponential tilting and empirical likelihood estimators produce qualitatively similar estimates of the risk aversion levels and beliefs. The quadratic divergence estimator leads to negative subjective probabilities, implausibly large risk aversion levels, and underestimation of left tail risk. Our results suggest that large institutional investors, like pension funds, have countercyclical beliefs about the market return, while extrapolative investors have procyclical beliefs. Our results offer an alternative explanation of the momentum effect in stock returns, help reconcile procyclical beliefs reported in individual investor surveys versus countercyclical beliefs implied by rational expectations representative agent models, and establish the information-theoretic approach as a powerful methodology for the recovery of beliefs.

`Ghosh - Subjective beliefs estimators and their properties.pdf`

12. Identifying a stock price bubble and its macroeconomic implications

Authors: Martin M Andreasen, Jeppe Bro
DOI: 10.1093/rof/rfag011

Fields & Theories:

- **Fields:** Asset Pricing, Macro-Finance, Monetary Policy
- **Theories:** Rational Bubbles, Present-Value Model, Structural Vector Autoregression, Instrumental Variables

Abstract:

We construct a present-value model with a rational bubble identified using stock market data and survey expectations. The model captures the 1970s "nifty-fifty" bubble, the dot-com bubble, the bubble prior to the 2007–2009 recession, a COVID-19 bubble, and a recent bubble possibly linked to artificial intelligence. When bubble-adjusting the price–dividend ratio, we no longer find explosive dynamics and excess volatility in stock prices. To examine the macroeconomic implications of a bubble, we use the bubble innovation as an instrument in a structural vector autoregression. The results show that a positive bubble shock is expansionary and leads to a higher monetary policy rate.

`Andreasen - Identifying a stock price bubble and its macroeconomic implications.pdf`

Journal of Financial and Quantitative Analysis

1. Private Equity and Gas Emissions: Evidence from Electric Power Plants

Authors: Xuanyu Bai, Youchang Wu
DOI: 10.1017/s0022109026103159

Fields & Theories:

- **Fields:** Corporate Finance, Private Equity, ESG/Sustainable Finance
- **Theories:** Agency Theory, Operational Efficiency, Incentives

Abstract:

We examine the effect of private equity buyouts on the environmental performance of U.S. fossil fuel power plants. Output-scaled CO 2 emissions are, on average, 4.2% lower after buyouts, predominantly because of fuel-saving improvements in production efficiency. Emission intensities decline more significantly following buyouts backed by pro-ESG private equity because of not only greater efficiency gains but also enhanced emission control. Our results suggest that while private equity firms are effective at implementing environ-

mentally beneficial operational changes that also increase profitability, they do not have strong incentives to undertake environmentally beneficial changes that are privately costly, except for those with pro-ESG preferences.

`Bai - Private Equity and Gas Emissions Evidence from Electric Power Plants.pdf`

2. Connected Social Media

Authors: Zhiqian Jiang, Baixiao Liu, Yuchen Xu, Bohui Zhang
DOI: 10.1017/s0022109026103317

Fields & Theories:

- **Fields:** Corporate Finance, Behavioral Finance, Information Asymmetry
- **Theories:** Information Management, Career Concerns, Narrative Economics

Abstract:

We examine whether and how firms use connected social media outlets to counteract negative coverage in traditional media. Employing a sample of Chinese listed firms with ties to social media outlets, we find that connected outlets portray firms more favorably than unconnected ones. Following unfavorable coverage in traditional media, connected outlets shift attention toward long-term prospects and promote favorable narratives, consistent with an optimism-shifting mechanism. The effect is more pronounced when firms have stronger incentives to stabilize stock prices and when managers face heightened career concerns. Our findings highlight the role of connected social media outlets in shaping corporate narratives.

`Jiang - Connected Social Media.pdf`

3. Political Connections, Financial Constraints, and Corporate Taxation

Authors: Ke Na, Terry Shevlin, Youan Wang, Zigan Wang
DOI: 10.1017/s0022109026103202

Fields & Theories:

- **Fields:** Corporate Finance, Public Finance, Political Economy
- **Theories:** Financial Constraints, Pecking Order Theory, Agency Theory

Abstract:

We find that the effect of political connections on tax planning depends on firms' financial conditions. After increased political connections, financially unconstrained firms increase tax planning and spending on tax services, as documented in prior studies, whereas constrained firms decrease tax planning and spending on tax services. Moreover, decreases in tax planning are only present for constrained firms that obtain new bank loans and public debt and when the connected politicians serve on banking-related committees. Our results suggest that by facilitating access to external financing, political connections reduce financially constrained firms' use of tax planning as an internal financing tool.

`Na - Political Connections, Financial Constraints, and Corporate Taxation.pdf`

4. Flow Diversification

Authors: Sunil Wahal, Albert Y. Wang
DOI: 10.1017/s0022109026103172

Fields & Theories:

- **Fields:** Asset Management, Mutual Funds, Financial Intermediation
- **Theories:** Liquidity Management, Strategic Complementarities, Externalities, Flow-Performance Sensitivity

Abstract:

We measure flow diversification in mutual funds using the cross-sectional correlation of daily flows across investor clienteles. Greater flow diversification is associated with lower future flow volatility, smaller subsequent outflows, and lower cash holdings. We decompose flow correlation into predictable and unexpected components. Unexpectedly low flow correlation is associated with higher post-outflow fund returns, mitigating outflow-induced externalities on incumbent shareholders. Flow diversification also dampens the higher flow-performance sensitivity of illiquid funds, partially offsetting strategic complementarities that can generate fragility.

`Wahal - Flow Diversification.pdf`

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5. How Does Domestic Competition Affect Firms' Foreign Market Expansion?

Authors: Tiago Loncan, Philip Valta
DOI: 10.1017/s0022109026103354

Fields & Theories:

- **Fields:** Corporate Finance, International Finance, Product Market Competition
- **Theories:** Difference-in-Differences, Natural Experiment, Resource-Based View, Labor Mobility Shocks

Abstract:

We examine how domestic product market competition shapes firms' foreign market expansion. Using a panel of U.S. public firms from 1997 to 2017 and text-based measures of output offshoring, we show that stronger domestic competition increases foreign sales activity. To address endogeneity concerns, we exploit the competitive effects of policy-induced variation from staggered rejections of the Inevitable Disclosure Doctrine. Further tests indicate that these labor mobility shocks that intensify competitive pressure spur foreign expansion primarily among firms with stronger intangible and organizational capabilities and higher profitability. The findings suggest that domestic competition is an important driver of foreign market expansion.

`Loncan - How Does Domestic Competition Affect Firms' Foreign Market Expansion.pdf`
